Ref: - VIESL/SOP/24-25/03 **Dated 11-02-2025**

Standard Operating Procedure (SOP) Purchase Order (PO) Item-wise PO to GRN Locking System (Purchase Department)

1. Purpose:

This SOP defines the process for managing the item-wise PO to GRN (Goods Receipt Note) locking system within the Purchase Department. The objective is to ensure that purchase orders are processed efficiently while maintaining control over expected delivery timelines.

2. Scope:

This SOP applies to all purchase orders created within the Purchase Department and pertains to all items with an expected delivery date (Material Reached at Site date).

3. Responsibilities:

- **Purchase Department:** Responsible for creating and maintaining purchase orders and ensuring compliance with expected delivery timelines.
- **System Administrator:** Responsible for configuring system automation to lock GRN creation post-PO expiry.
- **Approval Authorities:** Responsible for reviewing and approving PO amendments when necessary.

4. Procedure:

4.1. Expected Delivery Date Entry

1. When creating a Purchase Order (PO), the **Expected Delivery Date (Material Reached at Site Date)** must be entered into the system.
2. Once the expected date is recorded, the system will automatically calculate the **PO expiry date** by adding **5 additional days / tolerance** to the expected delivery date.

4.2. GRN Locking Mechanism

1. After the PO expiry date has passed, the system will **restrict the creation of GRN** (Goods Receipt Note) for the respective PO items.
2. If an attempt is made to generate a GRN beyond the expiry date, the system will display an error message preventing the process.

4.3. GRN Processing & Material Inspection Timeline (Locking System -02 Days)

1. **The GRN processing and material inspection must be completed within two (2) days of material receipt.**

2. **After the GRN process is completed, the invoice must be submitted to the accounts department within 24 hours (1 day) with a properly.**

4.4. Handling PO Amendments

1. If Spare Parts / PO Item required after the PO expiry date, the **Purchase Order must be amended**.
2. The amendment request must go through the **designated approval process**.
3. Once approved, the system will allow the GRN creation process to proceed.

5. System Process Flow:

1. **PO Creation:** Enter expected delivery date.
2. **System Automation:** Adds 5 additional days to determine PO expiry date.
3. **Post Expiry:** GRN creation is locked.
4. **PO Amendment (if required):** Approval process initiated.
5. **Approval Granted:** GRN process is re-enabled for the respective PO Item.
6. **Goods Received Note:** - GRN Processing & Material Inspection Timeline (Locking System -02 Days)

6. Screenshots & System Steps: **Please refer Screen attachment**

This SOP will come into effect from February 11, 2025.

Prepared By. **Reviewed By.** **Approved By.**